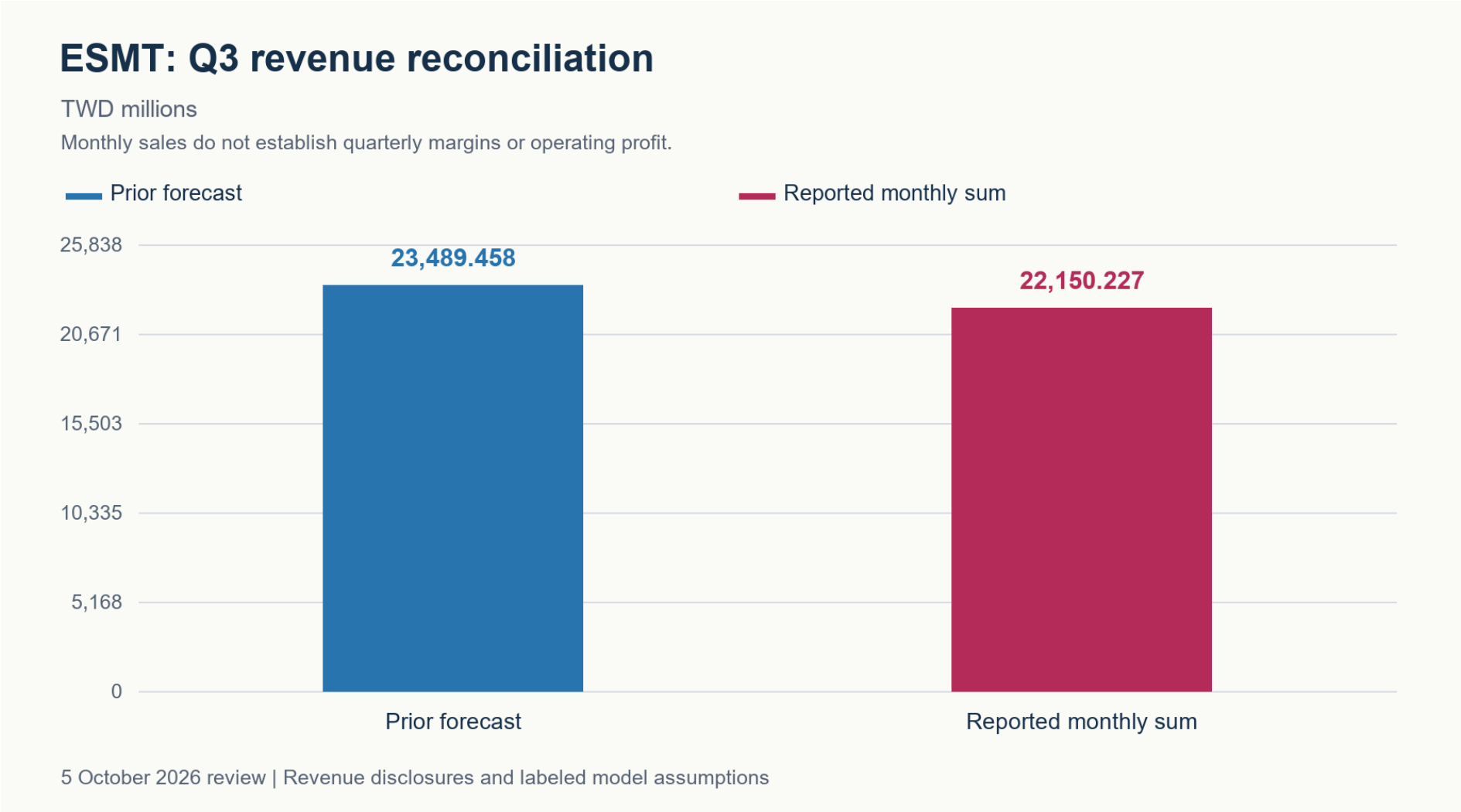
3006.TW - 晶豪科技 ESMT

Full active edition | Financial methods and portfolio Base overrides preserved.

October 5, 2026 update: September revenue reconciled

Active Q4 2027 price target: TWD 517.496442 per share, unchanged. Analytical Base 62/100; protected portfolio Excel Base 62/100, both unchanged.

Q3 monthly sales 22,150.227M, -5.70% vs forecast.40% September-run-rate persistence reduces Q4 revenue to24,552.923M; costs follow existing bridge.2027 inputs and Q4 2027 ceiling unchanged.



Q3 2026 prior forecast versus reported monthly-sales sum. TWD millions. Quarterly margins and OP are still modeled.

Reported monthly revenue	TWD millions
July 2026	6,784.662
August 2026	7,904.796
September 2026	7,460.769

Reported monthly revenue	TWD millions
Q3 monthly sum	22,150.227
Prior Q3 forecast	23,489.458
Q3 change	-5.7014%

Decision ledger (approved model treatment): Reported monthly revenue sum replaces Q3 forecast, probability100% for reported figure; product mix/margins/opex remain model assumptions. Do not infer actual OP. Future period input assumptions and existing custom multiple/share conventions retained. No unreported HBM or pricing addition. Q3 is outside Q4 2027 valuation window.

Source and dates: MOPS September consolidated revenue disclosure, company code 3006, ROC year 115, month 09; original monetary unit TWD thousands, divided by 1,000 for the table above. Retrieved October 5, 2026. MOPS table provides period but not first-publication timestamp; October 5 is retrieval date, not a proven initial-release date. The July/August figures retain their existing source provenance: Current artifact reported history; not freshly re-retrieved in this packet.

The company has reported monthly revenue, not a complete Q3 income statement. Product allocations, gross margins, operating expenses and OP remain explicitly modeled. The existing multiple, profit definition, share convention and protected Excel Base are retained. Q4 2026 includes the separately stated 40% demand-timing branch; 2027 onward is unchanged.

Affected ceiling quarter	Previous target TWD	Updated target TWD	Change
Q3 2026	678.065081	656.039106	-3.2484%
Q4 2026	646.787520	635.779746	-1.7019%

Q4 2026 demand-timing probability

40% judgment: September15.22% below our8.8B forecast and5.62% belowAugust; one month can reflect shipment timing, so60% retains26B Q4 rebound. Conditional22.382307B is three timesSeptember, not issuer guidance. No separate price/bit attribution. PreserveQ4 mix,70.97%blendedGM,500Mfixed+15.3%variableopex. Q42026only;2027 path already moderates and no perpetual shortfall imposed. Raise probability onOctober/November weakness, reduce on recovered shipments/orders. This is one correlated demand/timing branch.

Q4 input / calculation	TWD millions or probability
Previous Q4 revenue	26,000.000000
Conditional September-rate revenue	22,382.307000
Probability of that conditional outcome	40.00%
Active probability-weighted Q4 revenue	24,552.922800

The conditional branch is a timing/demand assumption, not company guidance. No second ASP haircut or independent probability factor is applied. Existing Q4 mix, product GMs and the fixed-plus-variable cost formula produce the OP shown below.

Framework 8.0 · Monthly-revenue update: 5 October 2026 · Capital terms: 2 October 2026 · Original operating research: 6 September 2026

Status: Integrated original research and approved earnings model; evidence qualifications remain active.

Classification: TEMPORAL FABLESS MEMORY BOTTLENECK - legacy demand with external wafer dependency

Portfolio Base: 62/100 - user-selected. Analytical recommendation: **62/100 (37/60)**, advisory only.

Active Q4 2027 operating ceiling: TWD 517.496442 per share, using Q4 2027-Q3 2028 OP. Q1 2028: TWD 488.455986. Financial amounts: TWD millions unless stated otherwise. Ceilings: TWD per share.

The active operating case applies the explicit 40% demand-timing probability once to the incremental Q4 2026 revenue difference and its existing cost bridge. No second probability multiplier is applied to operating profit or the final ceiling. Portfolio Base and the analytical category score remain distinct and unchanged.

1. Thesis, products and competitive position

SPECIALTY MEMORY WITH A CYCLICAL PRICING WINDOW. ESMT designs fabless memory and other ICs. Demand for mature-memory products can benefit when large manufacturers prioritize HBM, DDR5 and LPDDR5, but ESMT must secure wafers and backend capacity from counterparties. Scarcity is not the same as an owned fabrication bottleneck. Sources: ESMT-4, ESMT-5, ESMT-8.

Q2 actual revenue 13,946.218M, GP 9,580.614M, opex 2,407.771M and OP 7,172.843M imply 68.70% GM and 51.43% OP margin. Opex includes selling 291.648M, administration 314.392M and R&D1,801.731M. H1 revenue 21,213.118M and OP 9,427.597M are actuals. Cash from operations was 10,585.892M. Source: ESMT-1.

Inventory provision recoveries were 25.733M in Q2 and 25.336M for H1. Those credits are small relative to GP and do not explain the large earnings expansion. A favorable lag between finished-product prices and wafer cost is a different mechanism from an accounting provision reversal. No future inventory recovery, investment gain or FX profit is added to core OP.

Customer longevity versus control of supply

ESMT designs specialty memory including legacy DRAM/LPDDR, NOR, SLC NAND and related combinations for embedded applications. Long product lives and qualification can sustain demand as large producers prioritize other products. That opportunity does not mean ESMT controls the fabrication capacity required to supply it.

The original research identifies external foundry allocation, including PSMC-related supply, as a central constraint. A fabless company can benefit from higher memory selling prices while also facing rising wafer costs, limited allocation or delayed qualification. A capacity plan from another company is not owned ESMT capacity.

Price, bits and replacement costs

The current monthly-sales acceleration must be decomposed into shipped bits, mix and realized prices. Reported gross profit can rise sharply when selling prices move before wafer and inventory replacement costs. That timing effect is different from a separately booked inventory reversal and must be reconciled to the financial statements.

The model's long-range sales and margin assumptions therefore remain conditional on allocation and the pricing cycle. Legacy substitution, customer redesign and competing memory density can reduce the duration of scarcity. AI/PIM research, Cadence/AP Memory/ITRI relationships and test-chip milestones are technology optionality; they do not establish a separate large revenue stream without commercial qualification and orders.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest revenue and management evidence

July revenue of TWD 6,784.662M, August 7,904.796M and reported September 7,460.769M sum to Q3 revenue of TWD 22,150.227M. This replaces the prior TWD 23,489.458M forecast (-5.70%). Monthly sales do not disclose quarterly product mix, gross margins or operating profit; those remain model assumptions. [MONTHLY-202609] January-September sales were TWD 43,363.345M. [ESMT-2, ESMT-3]

The latest two posted management presentations located are March 10,2026 and December 4,2025; both full 11-page issuer decks were reviewed. December described improving mature-memory demand and aiPIM in development. March expressed an optimistic 2026 outlook while emphasizing that wafer and backend supply require further work. Neither provides a complete 2027-30 revenue / margin guide. Full verbatim Q&A for the two latest management events was not available, so the framework two-full-call gate remains an evidence gap. Sources: ESMT-4, ESMT-5.

The May Computex disclosure describes a test-chip and ecosystem effort with Cadence, AP Memory and ITRI, alongside automotive and other ICs. It supports a potential new application, not a quantified production backlog. No separate large aiPIM revenue ramp is included. Source: ESMT-8.

Bottom-up sales, pricing and allocation

Four vectors separate specialty DRAM, NOR, NAND / MCP and other ICs. The quarterly product split is analytical because the company reports one main consolidated business rather than these quarterly product accounts. Q3 mix remains 71/15/10/4%. Q4 mix remains 72/15/10/3%; the October 5 probability-weighted revenue is allocated across those same products. These mix inputs and GMs are LOW-confidence forecasts.

Calendar 2027-30 vector revenue in TWD M is DRAM80,000/78,000/72,000/67,000; NOR17,000/17,000/16,000/15,500; NAND11,000/11,000/10,000/10,000; other 4,000/4,000/4,500/5,000. Quarterly weights 23/24/26/27% reflect modest seasonality. Q12028 ceiling uses the four calendar quarters of 2028.

The 2027 total 112B exceeds the August annualized sales scale 94.858B by about 18%. One feasible bridge is 10% more saleable allocation / content and approximately 7.3% price / mix; neither is company guidance. Absolute wafer starts, yields and shipped bits are not disclosed sufficiently to certify it.

For 2028, DRAM revenue-2.5% assumes 5% higher bits and about 7.1% lower ASP; flat NOR and NAND assume 5% more bits offset by 4.8% lower ASP.2029 DRAM-7.7% assumes 5% bits growth and 12.1% ASP decline;2030-6.9% assumes 5% bits growth and 11.4% ASP decline. NOR and NAND have similar normalization, with product mix supporting other ICs. This explicitly allows revenue and earnings to soften even while physical units grow.

Exact claims about a 45% supplier price increase landing in specific months were not independently established in the primary materials reviewed. The model therefore treats wafer-cost increases and their timing as analyst scenarios. A larger global AI-memory TAM is not assigned wholesale to ESMT’s niche products.

Product GP and expenses

Q3 GMs by vector are 79/74/70/33%; Q4 are 74/68/65/33%. Their blended near-term rise from the reported quarter depends on selling-price strength and lower-cost inventory consumption; the timing of higher wafer costs can invalidate it.

Annual reference product GMs for 2027 are 60/54/50/30%;2028 are 53/47/43/30%;2029 are 43/41/38/31%;2030 are 37/36/34/32%. Each year applies quarter adjustments of+3,+1,-1,-3 percentage points to express progressive normalization. No probability is mixed into these physical price / cost assumptions.

2026 quarterly opex is 500M plus 15.3% of sales. From 2027, fixed opex starts 450M per quarter and grows 8% annually, plus 15.5% of revenue in 2027 and 15% thereafter. This retains material R&D and variable employee costs. Q2 employee benefits were 2,417.612M; the actual profit expansion did not leave expenses fixed at the previous cycle's level. Source: ESMT-1.

Share ownership and issued convertible

June issued capital represents 298.1278M shares. The accounts show 13.650M parent shares held by controlled Jie Yong Investment, but ESMT owns only 41.86% of that subsidiary. Subtracting all 13.650M would remove the economic claims of its outside owners. An ownership-aware share proxy subtracts 13.650 ×41.86%, yielding 292.413910M before awards and later changes. This is an economic proxy, not a claim to reproduce weighted-average GAAP EPS shares. Source: ESMT-1.

On September 4 controlled Cheng Feng bought 1.6M parent shares. The June chain shows 48% ownership of Jing Yong Innovation and 1.4% ownership of Cheng Feng underneath it, despite accounting control through voting rights. Assuming those economic percentages are unchanged, the net parent crossholding is only 1.6 ×48% ×1.4%=0.010752M. The model does not subtract the full 1.6M as though the purchaser were wholly owned. Add 0.331M for the latest employee-share dilution proxy and 0.5M new net awards each year from 2027. Sources: ESMT-1, ESMT-7.

The first convertible was substantially converted and the small remainder redeemed; its listing ended in April. Existing conversions are included in issued capital and are not added again. The September 4 extension notice was a pre-issuance event; final second-bond terms now replace that pending status. [ESMT-1, ESMT-6, ESMT-10]

The second secured convertible (30062) was issued and listed on October 2, 2026: 20,000 bonds of TWD100,000 face, or TWD2,000M face and outstanding principal. It carries a zero coupon, matures October 2, 2029, and is guaranteed by Taipei Fubon Bank, with KGI Bank as trustee. The initial conversion price is TWD308 and the conversion window is January 3, 2027-October 2, 2029. No shares have been issued merely because the bond was issued. [ESMT-10, ESMT-11]

The quoted issue price is 118.49 per TWD100 face (118.49%), not a TWD118.49 conversion price. The issuer reported TWD2,369,809,090 gross cash proceeds; the cash premium is not principal and does not enter conversion-share arithmetic. Auction proceeds of TWD2,048,701,190 plus 2,710 retained bonds at TWD118,490 equal that cash receipt. The quoted 118.49 price is rounded while successful auction bids vary. [ESMT-11, ESMT-12, ESMT-13]

The existing full-conversion forward scenario is retained, with no new probability or operating uplift. TWD2,000M / TWD308 gives 6.493506494M potential conversion shares, compared with the historical hypothetical TWD350 input's 5.714285714M. The increase is 0.779220779M. Standard conversion-price adjustments and fractional-share settlement could change realized issuance. This arithmetic is a forward dilution assumption, not a claim of completed conversion.

The 2026 quarter share proxy stays 292.734158M. From Q1 2027 the scenario includes full conversion after the January 3 legal start, plus the existing 0.5M annual net-award assumption. Q1 2027 is a quarter-level valuation proxy, not conversion on January 1 or daily weighted EPS. The October 2 capital update retained crossholding percentages, prior awards, operating forecasts and the sanctioned 4x OP multiple. The October 5 monthly update separately revises Q3 realized revenue and Q4 demand timing; the capital assumptions and 4x OP multiple remain unchanged.

Capital input / output	Prior model	Updated model / reported term
Face principal, TWD M	2,000 assumed	2,000 issued and outstanding
Conversion price, TWD/share	350 hypothetical	308 initial contractual
Full-conversion shares, M	5.714285714	6.493506494
2027 economic shares, M	298.948443714	299.727664494
Gross cash raised, TWD M	Not principal input	2,369.809090
Q4 2027 ceiling, TWD/share	518.845316847	517.496442186
Q4 2027 change	Capital terms only	-1.348874662 TWD / -0.259976%

3. Analytical score

The category arithmetic gives **37/60 = 62/100** after the existing -5-point risk deduction. The portfolio Base remains **62/100**. Risk-class detail appears in section 7.

Category	Points	Maximum	Basis
Core thesis	12	20	Specialty-memory design and allocation access; no exclusive control of wafer supply.
Cycle stage	10	10	Exceptional actual sales and profit expansion, with a mature-memory pricing cycle.
TAM expansion	5	10	Peripheral and edge demand plus product extensions; no whole-AI-memory TAM attribution.
Catalysts	4	5	Monthly revenue, cost reset, wafer allocation and product milestones.
Macro	8	10	Major suppliers prioritizing advanced memory supports legacy scarcity.
Alpha	3	5	Primary local data resolves margins, financing status and share ownership.
Risks	-5	0	Wafer dependency, pricing reversal, product substitution, dilution and forecast mix.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

Vector evidence

Vector	Source / derivation	Confidence
Specialty DRAM	Issuer describes DRAM / LPDRAM and wafer constraints; no quarterly product sales split	HIGH consolidated actual; LOW product allocation / prices
NOR Flash	Named commercial product family; future sales and GM analytical	MEDIUM product existence; LOW forward amounts
NAND / MCP	Includes NAND, eMCP and eMMC; not a separate HBM business	MEDIUM product evidence; LOW volume / mix
Other ICs	Analog, audio, motor drivers, connectivity and sensors; aiPIM test-chip work	MEDIUM commercial families; LOW future growth; aiPIM standalone revenue excluded

Product revenue build

Quarter	Specialty DRAM	NOR Flash	NAND / MCP	Other ICs	Total
Q3 2026	15,726.66	3,322.53	2,215.02	886.01	22,150.23
Q4 2026	17,678.10	3,682.94	2,455.29	736.59	24,552.92
Q1 2027	18,400.00	3,910.00	2,530.00	920.00	25,760.00
Q2 2027	19,200.00	4,080.00	2,640.00	960.00	26,880.00
Q3 2027	20,800.00	4,420.00	2,860.00	1,040.00	29,120.00
Q4 2027	21,600.00	4,590.00	2,970.00	1,080.00	30,240.00
Q1 2028	17,940.00	3,910.00	2,530.00	920.00	25,300.00
Q2 2028	18,720.00	4,080.00	2,640.00	960.00	26,400.00
Q3 2028	20,280.00	4,420.00	2,860.00	1,040.00	28,600.00
Q4 2028	21,060.00	4,590.00	2,970.00	1,080.00	29,700.00
Q1 2029	16,560.00	3,680.00	2,300.00	1,035.00	23,575.00
Q2 2029	17,280.00	3,840.00	2,400.00	1,080.00	24,600.00
Q3 2029	18,720.00	4,160.00	2,600.00	1,170.00	26,650.00
Q4 2029	19,440.00	4,320.00	2,700.00	1,215.00	27,675.00
Q1 2030	15,410.00	3,565.00	2,300.00	1,150.00	22,425.00
Q2 2030	16,080.00	3,720.00	2,400.00	1,200.00	23,400.00
Q3 2030	17,420.00	4,030.00	2,600.00	1,300.00	25,350.00
Q4 2030	18,090.00	4,185.00	2,700.00	1,350.00	26,325.00

Product gross margins

Quarter	Specialty DRAM	NOR Flash	NAND / MCP	Other ICs
Q3 2026	79.0%	74.0%	70.0%	33.0%
Q4 2026	74.0%	68.0%	65.0%	33.0%
Q1 2027	63.0%	57.0%	53.0%	33.0%
Q2 2027	61.0%	55.0%	51.0%	31.0%
Q3 2027	59.0%	53.0%	49.0%	29.0%
Q4 2027	57.0%	51.0%	47.0%	27.0%
Q1 2028	56.0%	50.0%	46.0%	33.0%
Q2 2028	54.0%	48.0%	44.0%	31.0%
Q3 2028	52.0%	46.0%	42.0%	29.0%
Q4 2028	50.0%	44.0%	40.0%	27.0%
Q1 2029	46.0%	44.0%	41.0%	34.0%
Q2 2029	44.0%	42.0%	39.0%	32.0%
Q3 2029	42.0%	40.0%	37.0%	30.0%
Q4 2029	40.0%	38.0%	35.0%	28.0%
Q1 2030	40.0%	39.0%	37.0%	35.0%
Q2 2030	38.0%	37.0%	35.0%	33.0%
Q3 2030	36.0%	35.0%	33.0%	31.0%
Q4 2030	34.0%	33.0%	31.0%	29.0%

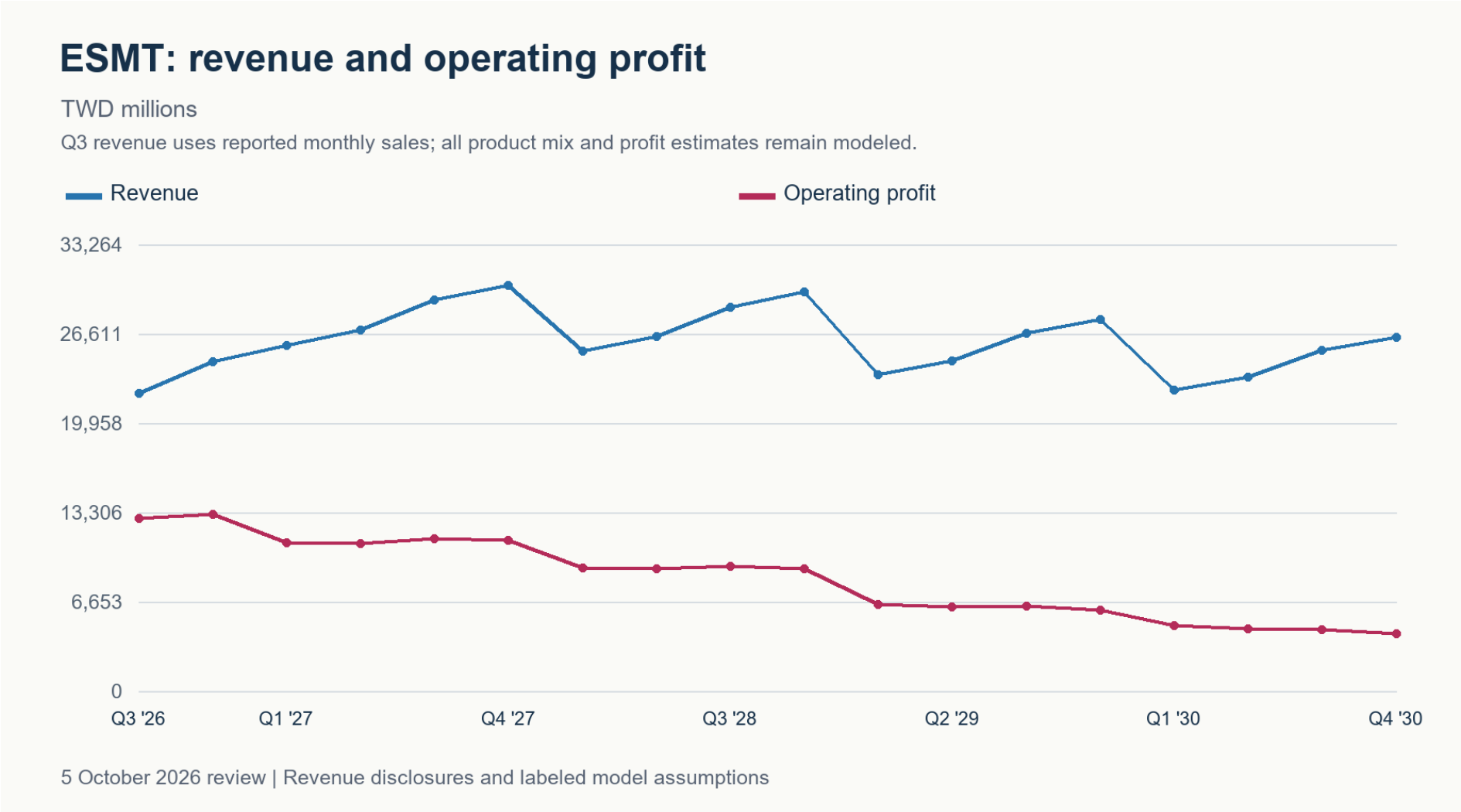
Quarterly operating model

Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin	Forecast confidence
Q3 2026	Monthly revenue actual; profit model	22,150.23	16,725.64	75.5%	3,888.98	12,836.65	58.0%	Reported revenue; LOW mix/margin estimates
Q4 2026	Probability-weighted model	24,552.92	17,425.21	71.0%	4,256.60	13,168.61	53.6%	40% run-rate branch; LOW margin estimates
Q1 2027	Model	25,760.00	15,465.20	60.0%	4,442.80	11,022.40	42.8%	LOW; reported anchors distinguished above
Q2 2027	Model	26,880.00	15,600.00	58.0%	4,616.40	10,983.60	40.9%	LOW; reported anchors distinguished above
Q3 2027	Model	29,120.00	16,317.60	56.0%	4,963.60	11,354.00	39.0%	LOW; reported anchors distinguished above
Q4 2027	Model	30,240.00	16,340.40	54.0%	5,137.20	11,203.20	37.0%	LOW; reported anchors distinguished above
Q1 2028	Model	25,300.00	13,468.80	53.2%	4,281.00	9,187.80	36.3%	LOW; reported anchors distinguished above
Q2 2028	Model	26,400.00	13,526.40	51.2%	4,446.00	9,080.40	34.4%	LOW; reported anchors distinguished above
Q3 2028	Model	28,600.00	14,081.60	49.2%	4,776.00	9,305.60	32.5%	LOW; reported anchors distinguished above

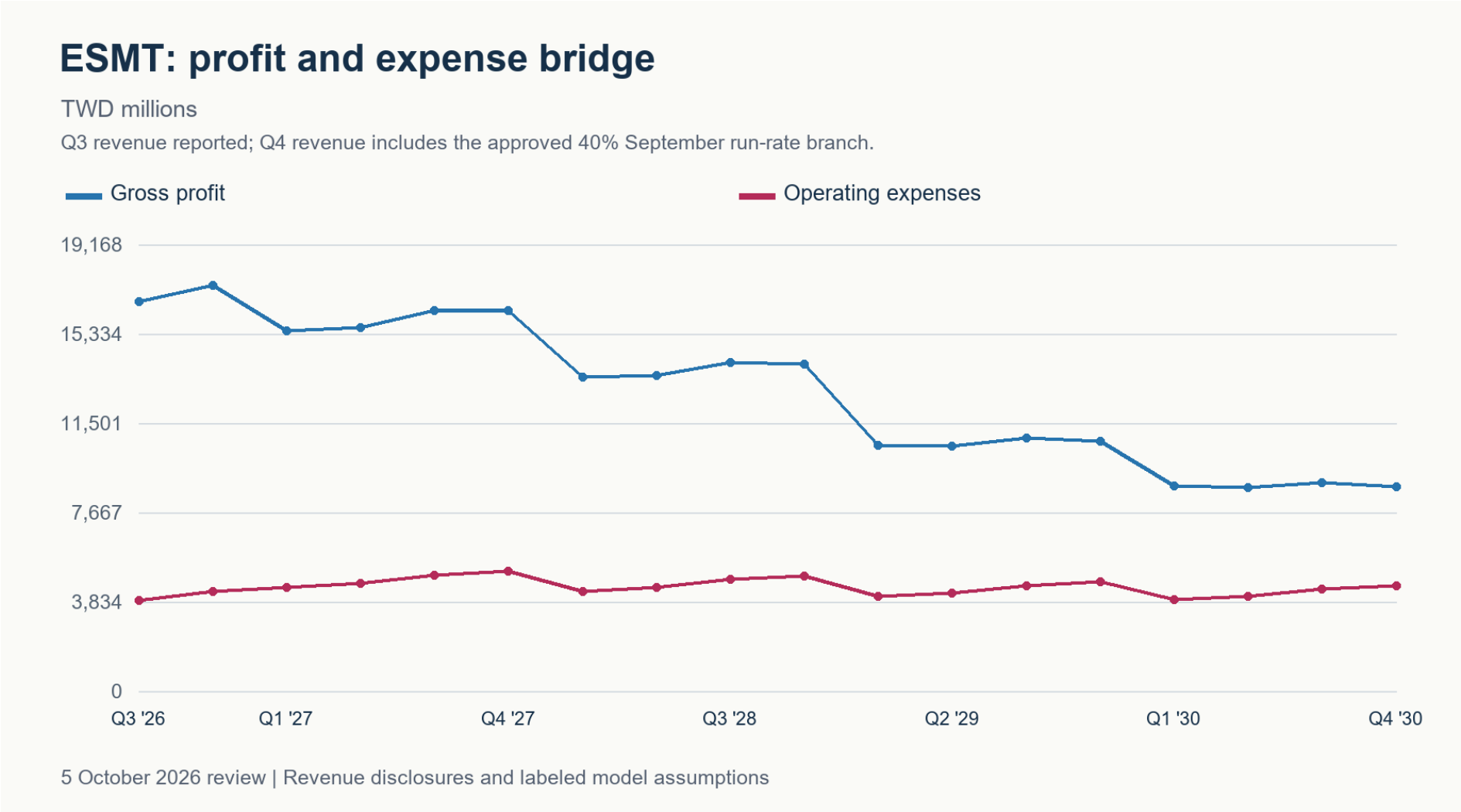
Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin	Forecast confidence
Q4 2028	Model	29,700.00	14,029.20	47.2%	4,941.00	9,088.20	30.6%	LOW; reported anchors distinguished above
Q1 2029	Model	23,575.00	10,531.70	44.7%	4,061.13	6,470.57	27.4%	LOW; reported anchors distinguished above
Q2 2029	Model	24,600.00	10,497.60	42.7%	4,214.88	6,282.72	25.5%	LOW; reported anchors distinguished above
Q3 2029	Model	26,650.00	10,839.40	40.7%	4,522.38	6,317.02	23.7%	LOW; reported anchors distinguished above
Q4 2029	Model	27,675.00	10,702.80	38.7%	4,676.13	6,026.67	21.8%	LOW; reported anchors distinguished above
Q1 2030	Model	22,425.00	8,807.85	39.3%	3,930.62	4,877.23	21.7%	LOW; reported anchors distinguished above
Q2 2030	Model	23,400.00	8,722.80	37.3%	4,076.87	4,645.93	19.9%	LOW; reported anchors distinguished above
Q3 2030	Model	25,350.00	8,942.70	35.3%	4,369.37	4,573.33	18.0%	LOW; reported anchors distinguished above
Q4 2030	Model	26,325.00	8,760.15	33.3%	4,515.62	4,244.53	16.1%	LOW; reported anchors distinguished above

Annual model cross-check

Model year (quarter convention above)	Revenue	Operating profit	OP margin
2027	112,000.00	44,563.20	39.8%
2028	110,000.00	36,662.00	33.3%
2029	102,500.00	25,096.98	24.5%
2030	97,500.00	18,341.02	18.8%



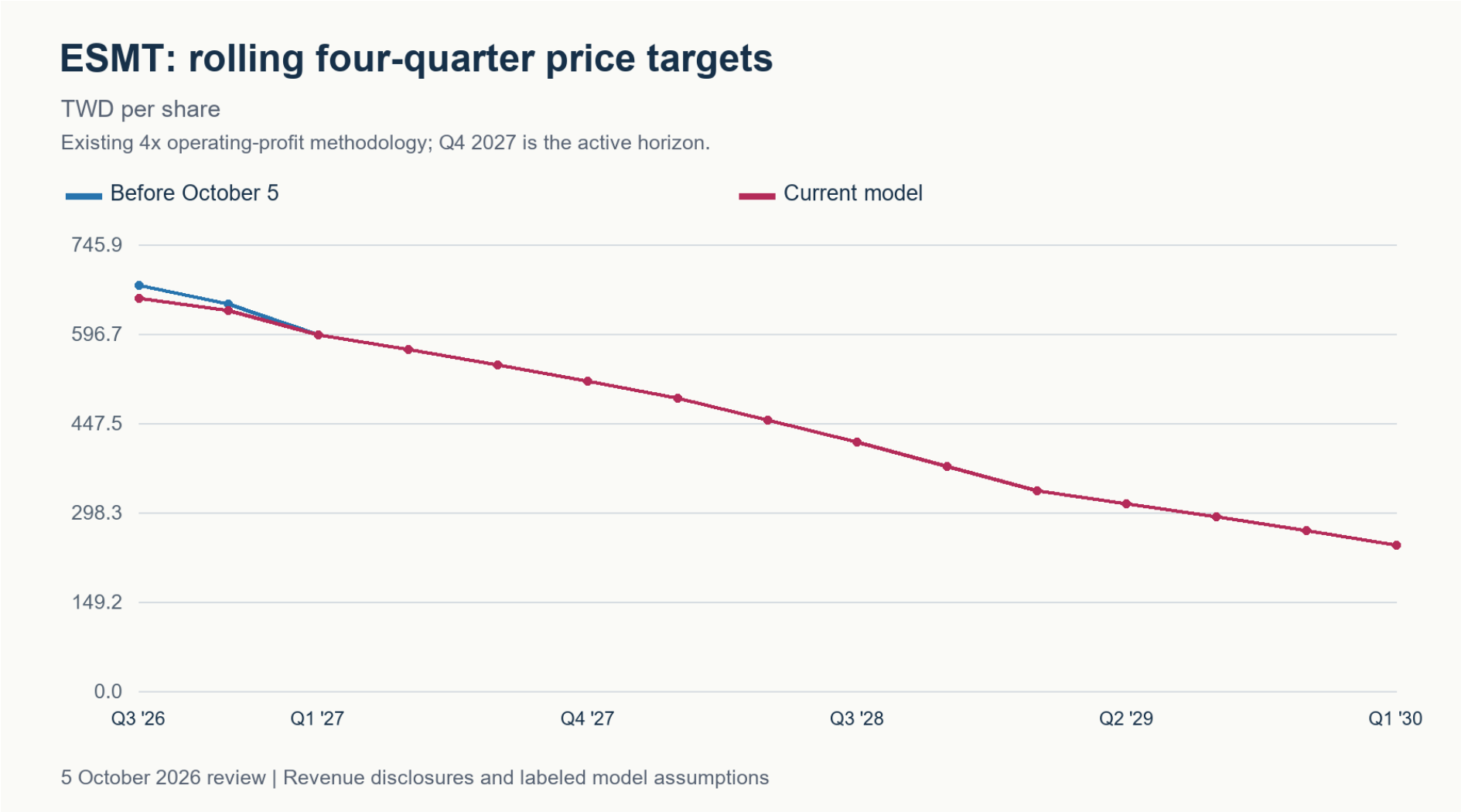
Current operating outlook. Q3 reported revenue; Q4 probability-weighted demand timing; 2027 onward unchanged. TWD millions.



Current gross profit and expense estimates, using unchanged product GMs and cost formulas. TWD millions.

5. Forward four-quarter operating ceiling

Each row uses that quarter plus the next three quarters of operating profit times the sanctioned 4x multiple, divided by that quarter's economic diluted-share proxy. Probability is not multiplied into the ceiling. The last three operating quarters have no ceiling because a complete four-quarter window is unavailable. The October 2 capital-only update left OP windows unchanged. The October 5 revenue update revises only the Q3 and Q4 2026 OP estimates and the two corresponding early ceiling windows; 2027 onward is unchanged.



Before and after the October 5 revenue review. TWD/share. October 2 capital-only facts remain in their dated table.

Quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares M	Ceiling TWD
Q3 2026	Q3 2026 to Q2 2027	48,011.263799	4x	292.734158	656.039106
Q4 2026	Q4 2026 to Q3 2027	46,528.612123	4x	292.734158	635.779746
Q1 2027	Q1 2027 to Q4 2027	44,563.200000	4x	299.727664	594.715874

Quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares M	Ceiling TWD
Q2 2027	Q2 2027 to Q1 2028	42,728.600000	4x	299.727664	570.232315
Q3 2027	Q3 2027 to Q2 2028	40,825.400000	4x	299.727664	544.833258
Q4 2027	Q4 2027 to Q3 2028	38,777.000000	4x	299.727664	517.496442
Q1 2028	Q1 2028 to Q4 2028	36,662.000000	4x	300.227664	488.455986
Q2 2028	Q2 2028 to Q1 2029	33,944.770000	4x	300.227664	452.253726
Q3 2028	Q3 2028 to Q2 2029	31,147.090000	4x	300.227664	414.979613
Q4 2028	Q4 2028 to Q3 2029	28,158.510000	4x	300.227664	375.162096
Q1 2029	Q1 2029 to Q4 2029	25,096.980000	4x	300.727664	333.816711
Q2 2029	Q2 2029 to Q1 2030	23,503.639600	4x	300.727664	312.623578
Q3 2029	Q3 2029 to Q2 2030	21,866.849200	4x	300.727664	290.852513
Q4 2029	Q4 2029 to Q3 2030	20,123.158800	4x	300.727664	267.659563
Q1 2030	Q1 2030 to Q4 2030	18,341.018400	4x	301.227664	243.550252

Mechanical share sensitivity

Holding the Q1 2028 operating case, attribution and currency assumptions fixed:

Economic denominator	Shares M	TWD ceiling per share
Updated denominator	300.227664	488.455986
5% more shares	315.239048	465.196178
10% more shares	330.250431	444.050897

This is a denominator sensitivity, not a second operating scenario or a forecast of issuance. The actual October bond terms replace the prior TWD350 proxy; full conversion remains the retained model convention.

6. Industry relationships and read-throughs

Compare ESMT's fabless allocation with Macronix's manufacturing capacity and GigaDevice's product/foundry relationships. Longsys and Penguin face their own inventory and replacement-cost mechanics. Supplier price changes are evidence to test each margin bridge, not a common margin assumption.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
External wafer supply and allocation	-1
Selling-price reversal and replacement costs	-1
Customer redesign and product substitution	-1
Convertibles and economic dilution	-1
Forecast product mix and unverified revenue bridge	-1
Total	**-5**

Score, valuation and cross-stock learning

Apply the sanctioned 4x to rolling four-quarter OP and divide by period economic diluted shares. No probability haircut is applied to the ceiling. The low sanctioned multiple and explicit margin normalization preserve the cyclical nature of the case.

September revenue is incorporated. Check October/November sales and order recovery, the Q3 reviewed accounts, wafer procurement cost, allocation, subsequent conversion-price adjustments, actual conversions and minority ownership. Memory demand, selling price, wafer allocation and product cost can move differently: ESMT, a fabless supplier, cannot inherit the margin assumptions of Micron, Kioxia or SK hynix merely because all benefit from memory demand. The learning log carries this distinction to future reviews.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Monthly sales bridge	Reconcile monthly sales to quarterly bits, prices and mix.	Price-led acceleration alone does not validate additional physical allocation.
2	Wafer economics	Track purchase cost, secured allocation and inventory turns.	Higher replacement costs or insufficient wafers can constrain profit despite demand.
3	Profit quality	Reconcile GP to actual inventory accounting and normal operating costs.	Unexplained one-time gains cannot sustain the recurring margin.
4	New products and shares	Require paid qualification for AI/PIM; track actual conversions against the issued terms.	Test chips or an issued convertible do not establish revenue or completed equity conversion.

8. Sources, evidence gaps and model snapshot

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full Framework 6.0 evidentiary certification.

- **ESMT-1** · 2026-07-30 · 115年第二季合併財務報告. Traditional Chinese reviewed H1 / Q2 financial statements, shares, crossholdings, costs and terminated first convertible.
- **ESMT-2** · As of 2026-09-06 · 公司每月營收 / 財務資訊. Exact July and August monthly revenue in TWD thousands.
- **ESMT-3** · 2026-09-02 · 2026年08月份營收報告. August 7,904.796M and eight-month 35,902.576M in detailed financial table; press body rounded.
- **ESMT-4** · 2026-03-10 · 2026年3月法人說明會資料. Full 11-page issuer presentation; wafer / backend constraints and 2026 outlook.
- **ESMT-5** · 2025-12-04 · 2025年12月法人說明會資料. Full 11-page prior presentation; traditional-memory demand and aiPIM development stage.
- **ESMT-6** · 2026-09-04 · 第二次有擔保轉換公司債延長募集期間獲准. Up to 2B TWD; historical extension to December 16; superseded for active capital terms by the October 2 issuance in ESMT-10/11.
- **ESMT-7** · 2026-09-04 · 代子公司誠風投資公告取得有價證券. 1.6M parent shares purchased for 448M TWD; controlled subsidiary is not wholly owned.
- **ESMT-8** · 2026-05-22 · Computex 2026: aiPIM與車用產品. Primary technology and partner disclosure; no mass-production revenue amount.
- **ESMT-9** · 2026-09-01 · Original model and framework - User upload:3006_TW_Q_Model and 3006TW_ESMT_DeepDive.md. Sanctioned 4x OP multiple; prior unsupported precise cost / monthly profit claims not carried as verified facts.
- **ESMT-10** · Observed 2026-10-02 · TPEx convertible bond issue records, BondCode 30062. TWD2B issue/outstanding principal, initial conversion308, issue/maturity, coupon, guarantee and legal conversion window. Local original record retained with this update.

- **ESMT-11** · Final sale notice for 2026-10-02 issue · KGI final sale announcement, page 1. 20,000 bonds, TWD100,000 face each; issue quote118.49; 17,290 auctioned / 2,710 retained.
- **ESMT-12** · 2026-10-01 · Issuer cash-receipt announcement. TWD2,369,809,090 cash receipt, distinct from TWD2B principal.
- **ESMT-13** · 2026-09-21 auction results · KGI auction results, page 1. Auction proceeds TWD2,048,701.19 thousand; reconciles cash premium with retained allocation.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

Historical October 2 snapshot (before the monthly update above): October 2, 2026 capital-input refresh of the September 6 operating case; 15 endpoints Q3 2026-Q1 2030. Q4 2027 = TWD 517.496442186; Q1 2028 = TWD 488.455986384. Portfolio Base62 and analytical score37/60 =62 remain unchanged. Workbook: v3_2_master_portfolio.xlsx, sheet3006_TW_Q_Model. Forecast evidence and accounting exceptions remain as stated above.

October 5 source register and synchronization record

MONTHLY-202609: TWSE-3006-REVENUE-202609, revision 1. Primary MOPS disclosure; company 3006, period2026-09, retrieved2026-10-05T11:30:29.638151+00:00. Source SHA-256: 288c6b5be15d26280d66bdb399b2190f307cf6b61d9b503c4cda0869bbbc9031. The publication timestamp is not established from the monthly table. This current record supersedes September forecast-status wording while preserving earlier source cutoffs.

Current model snapshot: October 5, 2026; full original research retained. Master workbook sheet 3006_TW_Q_Model. Active Q4 2027 target TWD 517.496442; analytical Base 62, protected Excel Base 62. Quarterly revenue, profit and ceiling tables above use the staged, validated workbook values.